Case No. 19-8005

UNITED STATES BANKRUPTCY APPELLATE PANEL
FOR THE SIXTH CIRCUIT

United States Bankruptcy Appellate Panel of the Sixth Circuit

Dinsmore & Shohl LLP

Bingham Greenebaum Doll LLP

Fox Rothschild LLP

In re:	BAP No. 19-8005
CHIEFTAIN STEEL, LLC, et al.,	Appeal From U.S. Bankruptcy Court Western District of Kentucky – Bowling Green
Debtors.	
	v.
DINSMORE & SHOHL LLP, BINGHAM GREENEBAUM DOLL LLP, FOX ROTHSCHILD LLP, and PHOENIX MANAGEMENT SERVICES, LLC, Appellants,	Originating Case Information Case No. 16-10407 Chapter 11 Hon. Joan A. Lloyd
v.	
UNITED CUMBERLAND BANK, Appellee.	

On Appeal from the United States Bankruptcy Court for the Western District of Kentucky, Originating Case No. 16-10407, Chapter 11, Hon. Joan A. Lloyd.

APPELLANTS' BRIEF

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ON APPEAL FROM THE UNITED STATES BANKRUPTCY COURT FOR THE WESTERN DISTRICT OF KENTUCKY

APPELLANTS' BRIEF

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July 31, 2019

Corporate Disclosure Statement

CORPORATE DISCLOSURE STATEMENTS

Pursuant to 6th Cir. R. 26.1, Appellants state that none of Dinsmore & Shohl LLP,

Pursuant to 6th Cir. R. 26.1, Appellants make the following disclosures:

Bingham Greenebaum Doll LLP, Fox Rothschild LLP, or Phoenix Management

1. Is Dinsmore & Shohl LLP a subsidiary or affiliate of a publically owned

Services, LLC is a subsidiary or affiliate of a publicly owned corporation? If Yes, list below the identity of the parent corporation or affiliate and the relationship

between it and the named party:

publicly owned corporation that is not a party to the appeal has a financial interest in

No.

the outcome.

2. Is Bingham Greenebaum Doll LLP a subsidiary or affiliate of a publically owned corporation? If Yes, list below the identity of the parent corporation or affiliate and the relationship between it and the named party:

No.

3. Is Fox Rothschild LLP a subsidiary or affiliate of a publically owned corporation? If Yes, list below the identity of the parent corporation or affiliate and the relationship between it and the named party:

No.

4. Is Phoenix Management Services, LLC a subsidiary or affiliate of a publically owned corporation? If Yes, list below the identity of the parent corporation or affiliate and the relationship between it and the named party:

No.

5. Is there a publically owned corporation, not a party to the appeal, that has a financial interest in the outcome? If yes, list the identity of such corporation and the nature of the financial interest:

No.

TABLE OF CONTENTS

Table of Contents

Page

Corporate Disclosure Statement i
Table of Authorities iii
Statement Regarding Oral Argument iv
Statement of Jurisdiction 1
Statement of the Issues 1
Statement of the Case 1
Standard of Review 3
Summary of Argument 4
Argument 4
I. The Carve-Out Survives Plan Confirmation in the Chapter 7 Proceeding 5
Conclusion 6

TABLE OF AUTHORITIES ..... ii-iii
STATEMENT CONCERNING ORAL ARGUMENT iv
JURISDICTIONAL STATEMENT 1
STATEMENT OF ISSUES 1
STATEMENT OF THE CASE 1-6
STANDARD OF REVIEW 6-7
SUMMARY OF ARGUMENT 7
ARGUMENT 7-16
I. THE CARVE-OUT SURVIVES PLAN CONFIRMATION IN THE CHAPTER 7 PROCEEDING 9-13
II. UCB MUST BE COMPELLED TO TURN OVER THE CARVE-OUT 13-16
CONCLUSION 17

Table of Authorities

TABLE OF AUTHORITIES

Page

Cases

Costa v. Robotic Vision Sys. (In re Robotic Vision Sys.), 367 B.R. 232 (B.A.P. 1st Cir. 2007) 5

Darrohn v. Hildebrand (In re Darrohn), 615 F.3d 470 (6th Cir. 2010) 3

Denver & R.G.W. R. Co. v. Goldman, Sachs & Co., 212 F.2d 627 (10th Cir. 1954) 5

E. Coast Miner LLC v. Nixon Peabody LLP (In re Licking River Mining, LLC), 911 F.3d 806 (6th Cir. 2018) 3, 4

Harper v. The Oversight Comm. (In re Conoco, Inc.), 855 F.3d 703 (6th Cir. 2017) 3

Ohio Farmers Ins. Co. v. Hughes-Bechtol, Inc. (In re Hughes-Bechtol, Inc.), 225 F.3d 659 (table), 2000 WL 1091509 (6th Cir. 2000) 5

Barrie v. Chartwouse Grp. Int'l, Inc. (In re Everfresh Beverages, Inc.), 238 B.R. 558 (Bankr. S.D.N.Y. 1999) 5

Shef v. White Star Coal Co., 190 Ky. 7, 226 S.W. 102 (1920) 13

Statutes

11 U.S.C. § 1141 11

28 U.S.C. § 157 and 1334 1

28 U.S.C. § 157(b) 1

28 U.S.C. § 158(a)(1) 1

Costa v. Robotic Vision Sys. (In re Robotic Vision Sys.), 367 B.R. 232 n.23 (B.A.P. 1st Cir. 2007) 8

11 U.S.C. § 1141 5

28 U.S.C. § 157(b) 1

Darrohn v. Hildebrand (In re Darrohn), 615 F.3d 470 (6th Cir. 2010) 6

28 U.S.C. § 158(a)(1) 1

28 U.S.C. §§ 157 and 1334 1

Denver & R.G.W. R. Co. v. Goldman Sachs & Co., 212 F.2d 627 (10th Cir. 1954) 11

E. Coast Miner LLC v. Nixon Peabody LLP (In re Licking River Mining, LLC), 911 F.3d 806 (6th Cir. 2018) 6, 7, 10, 14

Harper v. The Oversight Comm. (In re Conoco, Inc.), 855 F.3d 703 (6th Cir. 2017) 7

In re Ames Dep't Stores, 115 B.R. 34 (Bankr. S.D.N.Y. 1990) 9, 10

In re Evanston Beauty Supply, Inc., 136 B.R. 171 (Bankr. N.D. Ill. 1992) 8

In re Molycorp, Inc., 562 B.R. 67, 76 (Bankr. D. Del. 2017) 15

In re Rite Indus., No. B-99-12653C-11G, 2000 WL 33673764 (Bankr. M.D.N.C. Aug. 16, 2000) 8

In re The Pennyrile Company, LLC 6

In re US Flow Corp., 332 B.R. 792 (Bankr. W.D. Mich. 2005) 15

Meyer v. IRS (In re Myers), 216 B.R. 402 (B.A.P. 6th Cir. 1998) 6

Ohio Farmers Ins. Co. v. Hughes-Bechtol, Inc. (In re Hughes Bechtol, Inc.), 225 F.3d 359 (table), 2000 WL 1091509, at *3 (6th Cir. 2000) 9, 13

Statement Regarding Oral Argument

STATEMENT CONCERNING ORAL ARGUMENT

Appellants – three law firms and a professional financial advisor which were denied payment of their professional fees through what should have been the customary and regular use of a carve-out of certain collateral in a bankruptcy case – request that the Court hold oral argument in this appeal. The Appellants believe that the Court will be best served if the issues on appeal are subject to direct questioning by the panel given the significance of enforcing carve-outs.

Appellants – three law firms and a professional financial advisor which were denied payment of their professional fees through what should have been the customary and regular use of a carve-out of certain collateral in a bankruptcy case – request that the Court hold oral argument in this appeal. The Appellants believe that the Court will be best served if the issues on appeal are subject to direct questioning by the panel given the significance of enforcing carve-outs.

Statement of Jurisdiction

JURISDICTIONAL STATEMENT

This is an appeal by Appellants Dinsmore & Shohl LLP ("Dinsmore"), Bingham Greenebaum Doll LLP ("BGD"), Fox Rothschild LLP ("Fox"), and Phoenix Management Services, LLC ("Phoenix" collectively, the "Professionals") from the *Memorandum Opinion and Order* [Docket No. 424] (the "Opinion") entered on March 13, 2019 by the United States Bankruptcy Court for the Western District of Kentucky (the "Bankruptcy Court"). The Opinion constitutes a final judgment. The Bankruptcy Court had jurisdiction over this matter under 28 U.S.C. §§ 157 and 1334, and the matter is a core proceeding under 28 U.S.C. § 157(b). Furthermore, the confirmed Plan provided that the Bankruptcy Court retained jurisdiction over the matters raised by the Professionals. [Docket No. 249-1 § 13.02]. The Professionals timely filed their Notice of Appeal from the Court's Opinion and *Order Denying Professionals' Motion to Compel Turnover And Payment Of Carve-Out Held By United Cumberland Bank* [Docket No. 425] on March 26, 2019. This Court has appellate jurisdiction over this matter pursuant to 28 U.S.C. § 158(a)(1).

Statement of the Issues

STATEMENT OF ISSUES

Should UCB be compelled to turn over the allowed Professionals' fees pursuant to the terms of the Carve-Out contained in the Interim Cash Collateral Orders and the Amended Plan of Reorganization?

Statement of the Case

STATEMENT OF THE CASE

United Cumberland Bank ("UCB") admits that it has already collected $141,977.37 from a reorganized, and now insolvent, debtor. Nevertheless, UCB refuses to honor the terms of a carve-

[1] The facts set forth in this section are all contained in the documents identified in the Amended Designation, Statement of Issues on Appeal [Docket No. 429].

terms of a carve-out ("Carve-Out") of the proceeds of its collateral, which were reserved for the Professionals' exclusive benefit.

> Payment of any amounts on account of the Post-Petition Replacement Liens, the United Cumberland Pre-Petition Indebtedness, and the United Cumberland Pre-Petition Liens, shall be subject and subordinate to payment of the Carve-Out. For purposes of this Agreed Order, the Carve-Out shall mean (i) any fees, costs, disbursements, charges and expenses (as allowed by the Bankruptcy Court) of attorneys, accountants and other professionals of (x) the Debtor retained in the Chapter 11 Case pursuant to Sections 327, 328, 330, 331 and 1103 of the Bankruptcy Code and (y) the Committee, provided, however, that the aggregate amount of the Debtor's fees, costs, disbursements, charges and expenses entitled to priority as part of the Carve-Out under clause (i) above shall not exceed $20,000 per month and the Committee's fees, costs, disbursements, charges and expenses entitled to priority as part of the Carve-Out under clause (i) above shall not exceed $20,000 per month. The Debtor shall pay the Carve-Out as funds permit without causing an overdraft.

(Second Interim Cash Collateral Order § 9(a)). Each of the subsequent 11 Interim Cash Collateral Orders entered in the bankruptcy cases also provided for the Carve-Out. [See Docket Nos. 111, 113, 129, 139, 147, 175, 177, 197, 198, 219, and 245]. On April 17, 2017 the Court entered the Final Cash Collateral Order which included the Carve-Out up to any amount approved by the Bankruptcy Court. [Docket No. 246]. Each of the Cash Collateral Orders was negotiated, and agreed to, by UCB.

Further, each of the Cash Collateral Orders made all of UCB's liens and claims "subject to" the above Carve-Out. For example, Sections 5 and 6 of the First Interim Cash Collateral Order provide:

> 5. Subject to the Carve-Out, United Cumberland's post-petition liens on the post-petition collateral of the Debtor shall at all times be senior to the rights of all other persons, including, without limitation, the Debtor and any successor trustee in this case or any subsequent case under the Bankruptcy Code.

Cash Collateral Order requires UCB to set aside $20,000 per month for Dinsmore and $20,000 per month for the other Professionals. Specifically, the Second Interim Cash Collateral Order states:

On May 2, 2016, Chieftain Steel, LLC filed a voluntary petition for relief under chapter 11 of the Bankruptcy Code. On August 4, 2016, the Bankruptcy Court entered the Second Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender [Docket No. 103] (the "Second Interim Cash Collateral Order").

The Second Interim Cash Collateral Order requires UCB to set aside $20,000 per month for Dinsmore and $20,000 per month for the other Professionals. Its operative paragraph provides that "[p]ayment of any amounts on account of the Post-Petition Replacement Liens, the United Cumberland Pre-Petition Indebtedness, and the United Cumberland Pre-Petition Liens, shall be subject and subordinate to payment of the Carve-Out." (Second Interim Cash Collateral Order § 9(a)). "The Debtor shall pay the Carve-Out as funds permit without causing an overdraft." *Id.*

On April 17, 2017 the Court entered the Final Cash Collateral Order which included the Carve-Out up to any amount approved by the Bankruptcy Court. [Docket No. 246]. Each of the Cash Collateral Orders was negotiated, and agreed to, by UCB.

On April 18, 2017, the Debtors filed the Second Amended Plan of Reorganization [Docket No. 249-1] (the "Plan"). The Plan recognizes the Carve-Out

and stress that the Professionals' fees will be paid in full when awarded by the

7, 12, 226 S.W. 102, 104 (1920).

UCB is bound by the Plan. The Carve-Out UCB agreed to in the Cash Collateral Orders

Bankruptcy Court. Plan § 3.05 provides that any award "shall be paid in full in such

survives Plan confirmation. Indeed, the Plan expressly references payments to the Professionals

amounts as are Allowed by an Order of the Bankruptcy Court, first, from any Carve-

from the Carve-Outs:

Out amounts held in escrow by an Entity asserting such Professional Fee Claim and,

> Any award by the Bankruptcy Court shall be paid in full in such amounts as are Allowed by an Order of the Bankruptcy Court, *first*, from any **Carve-Out** amounts held in escrow by an Entity asserting such Professional Fee Claim and, *second*, if **Carve-Out** amounts held by the Entity are exhausted, the Professional Fee Claim will be payable as soon as practicable.

second, if Carve-Out amounts held by the Entity are exhausted, the Professional Fee

Claim will be payable as soon as practicable."

[Plan § 3.05] (emphasis added).

Currently, $180,646.47 remains unpaid from Dinsmore's judicially approved

Neither the Plan, nor the Bankruptcy Code, defines the term "Carve-Out." Rather, the only

fees. Of this amount, $105,717.00 should be paid by UCB under the terms of the Carve-

definition for the Carve-Out is included in the many interim and final cash collateral orders. The

Out. In the meantime, UCB collected at least $144,977.47 in proceeds of its collateral.

Carve-Outs must survive confirmation of the Plan in order to give it any effect at all. To hold

that the Carve-Outs do not survive Plan confirmation would render the very provisions which refer

At the same time, UCB has ignored the Carve-Out it agreed to with the Professionals.

to the Carve-Outs meaningless, or a "mere surplusage." Accordingly, consistent with black letter

contract law, the Carve-Out is not extinguished by confirmation.

Standard of Review

This interpretation is confirmed in light of the Professionals' fee applications tendered and

The Bankruptcy Court's legal determinations are reviewed de novo. *Darrohn v.*

granted post-confirmation. The professionals moved the Bankruptcy Court to award their fees

Hildebrand (In re Darrohn), 615 F.3d 470, 474 (6th Cir. 2010). The Bankruptcy

subsequent to the Plan confirmation. All fee applications specifically highlighted the Carve-Out

Court's interpretations of the Cash Collateral Orders, the Plan, and the Fee

as grounds for their award. [*See* Docket No. 272, 273, 274 at ¶ 5, Granted in Docket No. 303; *See*

Also Docket No. 275 at ¶ 10, Granted in Docket No. 306]. Two months after confirming the Plan,

Applications are reviewed for abuse of discretion. *Licking River Mining*, 911 F.3d at

the Court granted Dinsmore's fee application, ruling:

810 (citing *Harper v. The Oversight Comm. (In re Conoco, Inc.)*, 855 F.3d 703, 714 (6th

> Dinsmore is entitled to the payment of the balance of any unpaid fees and expenses awarded pursuant to this Order from the Carve-Out in accordance with the Court's Orders authorizing the use of cash collateral by the Debtor [DE 51, 91, 113, 139, 147, 219, 246]. To the extent that funds from the Carve-Out are depleted, Dinsmore

Cir. 2017)). However, "[t]o the extent the appeal involves review of the entire contract,

The Bankruptcy Court's interpretations of the Cash Collateral Orders, the Plan, and the Fee Applications are reviewed for abuse of discretion. *Licking River Mining*, 911 F.3d at 810 (citing *Harper v. The Oversight Comm.* (*In re Conoco, Inc.*), 855 F.3d 703, 714 (6th Cir. 2017). However, "[t]o the extent the appeal involves review of the entire contract, including statutory construction of provisions of the Bankruptcy Code as applied to the contract, that review is de novo." *Id.*

SUMMARY OF ARGUMENT

The Sixth Circuit expressly ruled in *Licking River* that "the carve-out funds pursuant to court order are earmarked for the exclusive benefit of the court-appointed chapter 11 professionals." 911 F.3d at 812. The Bankruptcy Court's Opinion narrowed that holding, determining that the Professionals did not include certain magic words that would enable their Carve-Out to survive Plan confirmation or the subsequent chapter 7 filing, or even restrict UCB from collecting on the very carve-out it negotiated and agreed to.

Yet, the Carve-Out survives Plan confirmation because it was referenced in the Plan itself and referenced in the fee applications awarded by the Bankruptcy court *post-confirmation*. Furthermore, nothing about the debtor's involuntary chapter 7 proceeding affects the Carve-Out approved by the Bankruptcy Court in the chapter 11 action. UCB's improper retention of proceeds of collateral while refusing to pay the Professionals directly violates the Court's Orders. Therefore, UCB's actions to collect sums from the reorganized debtor, Pennyrile, violate the very agreement it negotiated, and it should pay the Professionals their fees as previously agreed.

ARGUMENT

The Bankruptcy Court set a dangerous precedent in denying the Professionals' Carve-Out Motion [Docket No. 424] which, if not reversed, will lead to many more disputes between professionals and creditors to companies in bankruptcy, compromising the effective administration of the bankruptcy process. The Bankruptcy Court ruled that creditors could ignore the terms of

Vision Sys. (In re Robotic Vision Sys.), 367 B.R. 232, 237 n.23 (B.A.P. 1st Cir. 2007) (internal quotes and citations omitted).

The Sixth Circuit found no merit in the Lenders' arguments. *Id.* Like UCB's position that the Professionals are attempting to "jump in front of the line," the lenders in *Licking River* argued "that any property that came into the bankrupt estate after the conversion to Chapter 7 — presumably including any cash from the sale of assets — cannot be part of the cash collateral used to pay the professionals pursuant to the Carve-Out and should instead be distributed according to normal priority rules, thereby giving the Lenders priority over the professionals." *Id.* at 811. The *Licking River* Court rejected this argument, holding that "nothing in the Carve-Out or the cash collateral order prevents this use of post-conversion cash collateral to pay the professionals. . ." *Id*

I. The Carve-Out Survives Plan Confirmation in the Chapter 7 Proceeding

UCB consented to the debtors' use of cash collateral after negotiating the interim and final Cash Collateral Orders. These orders are "a kind of consent decree construed for enforcement purposes as a contract." *Ohio Farmers Ins. Co. v. Hughes-Bechtol, Inc. (In re Hughes-Bechtol, Inc.)*, 225 F.3d 659 (table), 2000 WL 1091509, at *3 (6th Cir. 2000) (citation omitted) (internal quotation marks omitted).

The Bankruptcy Court here turns that analysis on its head. Indeed, the Bankruptcy Court noted that the "Sixth Circuit emphasized the wording of the carve-out which repeatedly stated that it provided for the payment of the professionals' fees when allowed 'at any time.'" [Docket No. 424 p. 7]. While here the specific words "at any time" are not found in the Carve-Outs, *nothing* in the Carve-Out, the cash collateral orders, or the confirmed Plan prevents the Carve-Out from being enforced post-confirmation or after the initiation of the chapter 7 action.

Section 1141 of the Bankruptcy Code provides that a plan and the order confirming a plan bind the debtor and the debtor's creditors. 11 U.S.C. § 1141. When a reorganization plan is "approved by the court, it becomes final, is binding upon the debtor, the security holders, and all other interested parties, and must be enforced as written." *Denver & R. G. W. R. Co. v. Goldman, Sachs & Co.*, 212 F.2d 627, 630 (10th Cir. 1954). In Kentucky, every word in a contract "must be taken to have been used for a purpose, and no word should be rejected as mere surplusage if the court can discover any reasonable purpose thereof which can be gathered from the whole instrument." *Siler v. White Star Coal Co.*, 190 Ky. 7, 12, 226 S.W. 102, 104 (1920).

Section 1141 of the Bankruptcy Code provides that a plan and the order confirming a plan bind the debtor and the debtor's creditors. When a reorganization plan is "approved by the court, it becomes final, is binding upon the debtor, the security holders, and all other interested parties, and must be enforced as written." *Denver & R. G. W. R. Co. v. Goldman, Sachs & Co.*, 212 F.2d 627, 630 (10th Cir. 1954). The confirmed plan "becomes a binding contract between debtor and its creditors and is to be interpreted in accordance with general contract law." *Id.* In Kentucky, every word in a contract "must be taken to have been used for a purpose, and no word should be rejected as mere surplusage if the court can discover any reasonable purpose thereof which can be gathered from the whole instrument." *Siler v. White Star Coal Co.*, 190 Ky. 7, 12, 226 S.W. 102, 104 (1920).

7, 12, 226 S.W. 102, 104 (1920).

The Carve-Out must survive confirmation of the Plan in order to give § 3.05 any effect at all. To hold that the Carve-Outs do not survive Plan confirmation would render the very provisions which refer to the Carve-Outs meaningless, or a "mere surplusage." Accordingly, consistent with black letter contract law, the Carve-Out is not extinguished by confirmation.

UCB is bound by the Plan. The Carve-Out UCB agreed to in the Cash Collateral Orders survives Plan confirmation. Indeed, the Plan expressly references payments to the Professionals from the Carve-Outs:

> Any award by the Bankruptcy Court shall be paid in full in such amounts as are Allowed by an Order of the Bankruptcy Court, *first*, from any **Carve-Out** amounts held in escrow by an Entity asserting such Professional Fee Claim and, *second*, if **Carve-Out** amounts held by the Entity are exhausted, the Professional Fee Claim will be payable as soon as practicable.

[Plan § 3.05] (emphasis added).

Conclusion

The Bankruptcy Court's Opinion and Order should be reversed.

Neither the Plan, nor the Bankruptcy Code, defines the term "Carve-Out." Rather, the only definition for the Carve-Out is included in the many interim and final cash collateral orders. The Carve-Out must survive confirmation of the Plan in order to give § 3.05 any effect at all. To hold that the Carve-Outs do not survive Plan confirmation would render the very provisions which refer to the Carve-Outs meaningless, or a "mere surplusage." Accordingly, consistent with black letter contract law, the Carve-Out is not extinguished by confirmation.

Respectfully submitted,

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July 31, 2019

This interpretation is confirmed in light of the Professionals' fee applications tendered and granted post-confirmation. The professionals moved the Bankruptcy Court to award their fees subsequent to the Plan confirmation. All fee applications specifically highlighted the Carve-Out as grounds for their award. [*See* Docket No. 272, 273, 274 at ¶ 5, Granted in Docket No. 303; *See also* Docket No. 275 at ¶ 10, Granted in Docket No. 306]. Two months *after* confirming the Plan, the Court granted Dinsmore's fee application, ruling:

> Dinsmore is entitled to the payment of the balance of any unpaid fees and expenses awarded pursuant to this Order from the Carve-Out in accordance with the Court's Orders authorizing the use of cash collateral by the Debtor [DE 51, 91, 113, 139, 147, 219, 246]. To the extent that funds from the Carve-Out are depleted, Dinsmore

Certificate of Compliance

This brief of appellant complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(B) because it contains 1,093 words, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g). It complies with the typeface requirement of Fed. R. Bankr. P. 8015(a)(5) and the type-style requirement of Fed. R. Bankr. P. 8015(a)(6) because it was prepared in a proportionally spaced typeface using EB Garamond at 14-point, with case names in italics.

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July 31, 2019

Certificate of Service

CERTIFICATE OF SERVICE

I certify that on July 31, 2019 I filed this brief of appellant with the Clerk of the

The undersigned hereby certifies that a true and accurate copy of the foregoing was served upon all parties registered to receive electronic notice, via notice by the Court's CM/ECF service, on July 31, 2019.

Bankruptcy Appellate Panel of the Sixth Circuit through the court's electronic filing system, which will send notice of the filing to all counsel of record.

Respectfully submitted,

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July 31, 2019